

Corporate Governance and Ethics

Course: CS — Certified Secretaries

Level: Intermediate Level

Last updated: 28 July 2026

Syllabus version: Based on the standard KASNEB CS Intermediate Level Corporate Governance and Ethics syllabus topics — governance principles, board structure, governance codes applicable in Kenya, and business ethics theories. Authored from general professional governance knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check specific code references against the current Mwongozo Code and CMA Code before the exam, as these are periodically revised.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. What is corporate governance?

Corporate governance is the system of rules, practices, and processes by which a company is directed and controlled — it defines how power is distributed and exercised among shareholders, the board of directors, management, and other stakeholders, and how the company is held accountable for its decisions. Good governance exists to protect the interests of shareholders and other stakeholders, reduce the risk of mismanagement or fraud, and build the trust that markets and society need to keep investing in and dealing with a company.

2. Principles of good corporate governance

Widely recognised principles include:

- **Accountability** — the board and management must be answerable for their decisions and the company's performance.
 - **Transparency** — timely, accurate disclosure of material information about the company's financial position, performance, and governance.
 - **Fairness** — equitable treatment of all shareholders, including minority shareholders, and of other stakeholders.
 - **Responsibility** — the board takes responsibility for the company's strategy, risk oversight, and compliance with law.
 - **Independence** — sufficient independent judgement on the board, free from undue influence by management or dominant shareholders.
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3. The board of directors

The **board of directors** is the body ultimately responsible for the governance of the company — setting strategic direction, appointing and overseeing senior management, and safeguarding shareholders' interests.

- **Executive directors** — hold management roles within the company (e.g. the CEO, Finance Director) in addition to their board seat.
- **Non-executive directors (NEDs)** — do not hold a management role, and bring independent oversight and outside perspective to board decisions.
- **Independent directors** — non-executive directors who are also free of any relationship (financial or otherwise) that could compromise their independent judgement.
- **Chairperson** — leads the board, ensures it functions effectively, and is generally expected to be separate from the Chief Executive Officer role, to avoid concentrating too much power in one individual.

- **Company secretary** — advises the board on governance and legal compliance, ensures proper board procedure (notices, minutes, filings), and acts as a channel of communication between the board, shareholders, and regulators.
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4. Board committees

Boards commonly delegate detailed oversight of specific areas to committees, typically composed mainly or entirely of non-executive/independent directors:

- **Audit committee** — oversees financial reporting integrity, internal controls, and the relationship with external and internal auditors.
 - **Nomination committee** — oversees board appointments, succession planning, and board composition/diversity.
 - **Remuneration committee** — sets and reviews executive remuneration, ensuring pay is aligned with performance and shareholder interests.
 - **Risk committee** — oversees the company's risk management framework and appetite (common in larger/regulated entities, e.g. banks).
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5. Governance codes applicable in Kenya

- **The Mwongozo Code of Governance for State Corporations** — sets out governance principles specifically for state-owned enterprises in Kenya, covering board composition, board committees, ethical leadership, and stakeholder relations.
- **The Capital Markets Authority (CMA) Code of Corporate Governance Practices** — applies to public listed companies (and other CMA-regulated entities), covering board effectiveness, disclosure and transparency, accountability, and shareholder rights.
- Sector regulators (e.g. for banking and insurance) commonly issue their own governance guidelines layered on top of the general codes, reflecting the specific risks of the regulated sector.

These codes are generally structured on an "apply or explain" basis — a company is expected to apply the code's principles, or clearly explain to shareholders/the regulator why, in its specific circumstances, it has not.

6. Stakeholder theory vs shareholder theory

- **Shareholder (shareholder primacy) theory** — the company's primary obligation is to maximise value for its shareholders, who bear the residual risk of the business.
- **Stakeholder theory** — the company should balance the interests of a wider group of stakeholders — shareholders, employees, customers, suppliers, the community, and the environment — recognising that a company's long-term success depends on maintaining good relationships with all of them, not shareholders alone.

Modern governance codes increasingly encourage boards to have regard to a broad range of stakeholder interests, even where the formal legal duty is framed around promoting the company's success for the benefit of its members.

7. Business ethics and ethical theories

Business ethics concerns applying moral principles to decisions and conduct in a business context. Two commonly examined ethical frameworks:

- **Consequentialist (utilitarian) ethics** — judges the rightness of an action by its outcomes/consequences: an action is right if it produces the greatest overall benefit (or least harm) for those affected.
- **Deontological ethics** — judges the rightness of an action by whether it complies with a moral rule or duty, regardless of the outcome (e.g. "do not lie," "keep promises"), even if breaking the rule might produce a better result in a specific case.

A board or manager facing an ethical dilemma often has to weigh these two lenses against each other — e.g. whether a decision that produces a good overall outcome can be justified even if it required bending a normally-binding rule.

8. Whistleblowing and codes of conduct

- A **code of conduct** sets out the standards of behaviour expected of directors, management, and employees — covering areas such as conflicts of interest, gifts and hospitality, confidentiality, and fair dealing.
 - A **whistleblowing policy** provides a safe, confidential channel for employees (and sometimes other stakeholders) to report suspected wrongdoing — fraud, corruption, safety violations, or breaches of the code — without fear of retaliation.
 - Effective whistleblowing arrangements are now widely regarded as an essential governance safeguard, since internal wrongdoing is often first noticed by people inside the organisation, long before it becomes visible to external auditors or regulators.
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9. Full worked question — evaluating a board's governance structure

Scenario. Amani Holdings PLC, a listed company, has a nine-member board. The Chief Executive Officer also serves as Board Chairperson. Six of the nine directors are executives holding senior management roles in the company. There is no audit committee; the full board reviews the annual financial statements directly before they are published.

Required: Identify THREE governance weaknesses in this structure, and explain why each is considered a weakness.

Solution:

1. **Combined Chairperson/CEO role.** Best practice generally requires the Chairperson and CEO roles to be held by different people. Combining them concentrates excessive power in one individual, weakening the board's ability to hold management (in this case, itself) properly accountable.
1. **Executive-director-dominated board.** Six of nine directors being executives means the board lacks a sufficient proportion of non-executive/independent directors to provide objective oversight — management effectively controls the majority vote at board level, undermining independent scrutiny of its own decisions.
1. **No audit committee.** Reviewing financial statements directly at full-board level, without a dedicated audit committee of independent directors first scrutinising them in depth, removes a key layer of specialist oversight over financial reporting integrity and the relationship with the external auditor — a core expectation of modern governance codes for listed companies.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CS examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CS INTERMEDIATE LEVEL — CORPORATE GOVERNANCE AND ETHICS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all reasoning clearly.

QUESTION ONE

- (a) Define corporate governance. *(4 marks)*
 - (b) Explain FIVE principles of good corporate governance. *(10 marks)*
 - (c) Explain why transparency is important to shareholders and the market generally. *(6 marks)*
- (Total: 20 marks)*
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QUESTION TWO

- (a) Distinguish between an executive director, a non-executive director, and an independent director. *(9 marks)*
 - (b) Explain why it is generally recommended that the roles of Chairperson and Chief Executive Officer be held by different people. *(6 marks)*
 - (c) Outline the role of a company secretary in corporate governance. *(5 marks)*
- (Total: 20 marks)*
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QUESTION THREE

- (a) Explain the role of FOUR board committees commonly found in a listed company. *(12 marks)*
 - (b) Explain the "apply or explain" basis on which governance codes are commonly structured. *(4 marks)*
 - (c) Name TWO governance codes applicable in Kenya, and state which type of entity each primarily applies to. *(4 marks)*
- (Total: 20 marks)*
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QUESTION FOUR

- (a) Distinguish between shareholder (shareholder primacy) theory and stakeholder theory. *(8 marks)*
 - (b) Distinguish between consequentialist and deontological ethical reasoning, giving one example decision analysed under each. *(8 marks)*
 - (c) Explain why a board may need to weigh both ethical lenses when facing a difficult decision. *(4 marks)*
- (Total: 20 marks)*

QUESTION FIVE

Sema Bank PLC, a listed company, has a twelve-member board. The CEO also chairs the board. Eight of the twelve directors are executives. There is no audit committee — the full board reviews the annual financial statements directly.

Required:

(a) Identify and explain THREE governance weaknesses in this structure. *(12 marks)*

(b) Recommend how each weakness identified in (a) could be addressed. *(8 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(4 marks)* — Corporate governance is the system of rules, practices, and processes by which a company is directed and controlled, defining how power is distributed and exercised among shareholders, the board, management, and other stakeholders.

(b) *(10 marks — 2 marks each, any five)* — Accountability (board/management answerable for decisions and performance); Transparency (timely, accurate disclosure); Fairness (equitable treatment of all shareholders, including minority shareholders); Responsibility (board owns strategy, risk oversight, compliance); Independence (sufficient independent judgement on the board).

(c) *(6 marks)* — Transparency lets shareholders and the market make informed decisions about the company (e.g. whether to invest, hold, or sell), reduces information asymmetry that could otherwise be exploited by insiders, and builds the trust needed for continued market confidence in the company.

QUESTION TWO

(a) *(9 marks — 3 marks each)* — Executive director: holds a management role in the company in addition to their board seat. Non-executive director: does not hold a management role, brings independent oversight/outside perspective. Independent director: a non-executive director who is also free of any relationship that could compromise independent judgement.

(b) *(6 marks)* — Combining the roles concentrates excessive power and decision-making authority in one individual, weakening the board's ability to hold management (including the CEO) properly accountable and reducing objective oversight of executive decisions.

(c) *(5 marks)* — The company secretary advises the board on governance and legal compliance, ensures proper board procedure (notices, minutes, statutory filings), and acts as a channel of

communication between the board, shareholders, and regulators.

QUESTION THREE

(a) *(12 marks — 3 marks each)* — Audit committee (oversees financial reporting integrity, internal controls, auditor relationship); Nomination committee (board appointments, succession planning, composition); Remuneration committee (sets/reviews executive pay, aligns it with performance); Risk committee (oversees risk management framework and appetite).

(b) *(4 marks)* — A company is expected to apply the code's principles, or clearly explain to shareholders/the regulator why, given its specific circumstances, it has departed from a particular principle — allowing flexibility while preserving accountability.

(c) *(4 marks — 2 marks each)* — Mwongozo Code of Governance (applies to state corporations); CMA Code of Corporate Governance Practices (applies to publicly listed/CMA-regulated companies).

QUESTION FOUR

(a) *(8 marks)* — Shareholder theory: the company's primary obligation is to maximise value for shareholders, who bear the residual risk. Stakeholder theory: the company should balance the interests of a wider group — shareholders, employees, customers, suppliers, community, environment — recognising long-term success depends on all these relationships.

(b) *(8 marks)* — Consequentialist ethics judges an action by its outcomes (e.g. justifying a decision because it produces the greatest overall benefit). Deontological ethics judges an action by whether it complies with a moral rule or duty regardless of outcome (e.g. refusing to falsify a report even if doing so might avoid short-term harm).

(c) *(4 marks)* — Because a decision that produces a good outcome may still require bending a normally-binding rule, and a board must weigh whether the outcome genuinely justifies that departure, or whether upholding the rule matters more regardless of the immediate consequence.

QUESTION FIVE

(a) *(12 marks — 4 marks each)* — Combined Chairperson/CEO role concentrates power and weakens accountability of management to the board; an executive-majority board (8 of 12) undermines independent oversight since management effectively controls the board vote; absence of an audit committee removes specialist scrutiny of financial reporting integrity and the external audit relationship.

(b) *(8 marks — any two paired with (a), or general recommendations)* — Separate the Chairperson and CEO roles between two different people; increase the proportion of non-executive/independent directors so executives are a minority; establish an audit committee

composed of non-executive/independent directors to review financial statements in depth before full-board approval.

12. Exam technique and revision checklist

- Governance-weakness questions (like the worked example and Question Five): always pair each weakness with a clear reason it matters, not just a label — "no audit committee" alone is incomplete; add *why* that's a problem.
- Director-type questions: always distinguish "non-executive" from "independent" precisely — every independent director is non-executive, but not every non-executive director is independent (they might still have a compromising relationship with the company).
- Governance-code questions: know which code applies to which type of entity (Mwongozo → state corporations; CMA Code → listed/CMA-regulated companies) — mixing these up is a common, easily avoided error.
- Ethics questions: always name the ethical framework (consequentialist vs deontological) before describing it, and use a concrete example — an unnamed description of the reasoning earns fewer marks than a correctly labelled one.
- Stakeholder vs shareholder theory questions: contrast them directly on who the company's primary obligation runs to, rather than describing each in isolation.

Quick revision — one line per topic:

1. Corporate governance = the system of rules/practices/processes directing and controlling a company.
 2. Key principles: accountability, transparency, fairness, responsibility, independence.
 3. Executive directors manage; non-executive directors oversee; independent directors are non-executive and free of compromising relationships.
 4. Chairperson and CEO roles should generally be separate to avoid concentrating power.
 5. Key board committees: audit, nomination, remuneration, risk.
 6. Mwongozo Code = state corporations; CMA Code = listed/CMA-regulated companies.
 7. Governance codes are typically "apply or explain."
 8. Shareholder theory prioritises shareholder value; stakeholder theory balances a wider set of interests.
 9. Consequentialist ethics judges by outcome; deontological ethics judges by adherence to a rule/duty.
 10. Whistleblowing policies and codes of conduct are key safeguards for catching wrongdoing early.
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus, the Mwongozo Code, the CMA Code of Corporate Governance Practices, and examiner's reports for the paper.